

MACROECONOMICS

1E



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Macroeconomics (Martin Medeiros)

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About the Book About the BookEdit Update titlecancel

This macroeconomics textbook distills the subject to its essential concepts, providing a clear and focused framework for understanding the workings of the overall economy. It is designed to complement the author's microeconomics textbook (Microeconomics 1e) and to address a major gap in existing instructional materials: the treatment of modern U.S. monetary policy. Since 2010, the Federal Reserve has fundamentally changed how it conducts monetary policy, shifting to an “ample reserves” operating framework that relies heavily on administered interest rates such as the Interest on Reserve Balances (IORB). Yet most macroeconomics textbooks still explain policy using pre-2010 tools and mechanisms. This book fully revises that coverage, ensuring students learn how monetary policy actually operates today.

The text progresses from foundational principles—scarcity, opportunity cost, supply and demand—to the core macroeconomic topics of GDP measurement, economic growth, unemployment, inflation, fiscal policy, monetary policy, and international trade. Economic concepts are consistently linked to real-world examples, data, and “news alert” features that encourage critical thinking about current events. The book also emphasizes the connections between theory and policy, and between individual decision-making and aggregate economic outcomes.

The monetary policy section is entirely restructured to reflect the Federal Reserve's post-2010 framework, including the use of administered rates, changes in reserve management, and the implications for interest rates across the yield curve. By integrating this updated policy approach, the text prepares students to engage with current economic debates and data, making it an up-to-date and practical resource for understanding the modern macroeconomy.

About the Author About the AuthorEdit Update titlecancel

Martin Medeiros, MA in Economics, has been a Corporate Economist/Analyst for the Bank of America Corporation and instructor since 1992. He specializes in U.S. macroeconomic indicators. Martin has also served as Executive Director of the Accelerated Bachelor's Degree Program at Holy Names College. For the last 25 years he has taught economics at the International Diploma Program at University of California at Berkeley Extension, California State University East Bay, Golden Gate University, and Holy Names University. In 2004 UC Berkeley Extension presented Martin with the Distinguished Instructor of the Year Award. Internationally, Martin has been teaching numerous economics courses at Jinan University, China and University of Zagreb, Croatia.

CHAPTER OVERVIEW

1: Overview

Learning Objectives

Upon completion of this module, you will be able to:

- Describe the science of economics.
- Use the supply and demand to explain economic relationships and the consequences of surpluses and shortages.
- Explain the production possibilities curve and how it represents the opportunity costs associated with production decisions.
- Use the production possibilities curve to illustrate and distinguish between the concepts of scarcity, law of increasing opportunity cost, inefficiency, unemployment, and economic growth.
- Recount some of the market failures of the market mechanism as well as the government failures associated with government directives.
- Recount the benefits to society that result from a free market economy.

[1.1: What is Economics?](#)

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1.1: What is Economics? 1.1: What is Economics?Edit Update titlecancel

Economics can intimidate some people. Some treat economics like a language they should know but have not had the time to become fluent. This so-called inarticulateness, in most cases, is only an illusion. Everyone has more experience and expertise in economics than they think.

The main reason people cannot hear their inner economic voice is mainly due to a misunderstanding. There tends to be a misunderstanding regarding the simple principle at the core of economics.

Are you ready for it?

Here it is.

ECONOMICS IS THE STUDY OF CHOICE!

That's all there is. So, if you make choices then you have some experience with economics. This principle says something about the importance of economics. It is everywhere and is practiced by everyone.

Choices are made every day by billions of people. Some are made easily, and some are excruciatingly difficult. Be it easy or hard, most people do their best to avoid making choices. And there is a very simple reason for this. All choices must cost something. **THERE ARE NO FREE CHOICES!**

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1.2: Scarcity and Choices 1.2: Scarcity and ChoicesEdit Update titlecancel

If there are no free choices, what then forces people to do something that will exact a cost?

Scarcity

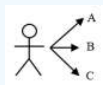
Scarcity is the lack of enough resources to satisfy all desired uses of those resources.

Scarcity of time, money, or resources creates a situation where one cannot do everything; he/she desires. They are forced to choose something over another.

The cost of every choice we make is based on the value of what we must give up.

✓ Example 1.2.1

You have only one choice from three options:



Let's say you choose option B.

Question: what is the cost of your decision?

A?

C?

A+C?

Solution

Since you can choose only one option, it does not make sense that the cost of your choice is the value of both A and C. If you could not choose B, then you would have to choose between A or C. Therefore, the cost of your choice is the value of your most favored second option.

Opportunity Costs

Opportunity cost is the most desired goods or services that are forgone in order to obtain something else.

It is what is given up for getting something else. This is how economists refer to the costs incurred from decision making.

To give you an idea of how the concept of opportunity cost is used, here is a quote from August 7th, 2008, issue of the Economist. The article discusses the consequences of seeking an MBA degree.

"The biggest cost of undertaking an MBA is often the earnings forgone while studying. In difficult times those earnings may fall or even disappear, reducing the opportunity cost of taking a year out."

In this one sentence, the author says several things regarding opportunity costs. One, the costs associated with earning an MBA degree are not limited to the money spent on tuition and books. It also includes money which could have been earned if the person worked instead of taking classes. Two, opportunity costs can, and often do, change. During a recession, incomes fall and as a result, the opportunity cost of pursuing a graduate degree also falls.

Understanding that opportunity costs exist and can change, improves decision making.

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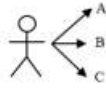
1.3: The Economy 1.3: The EconomyEdit Update titlecancel

By fully understanding the foundation upon which economics sits, you can start to see how economic principles apply to the real world.

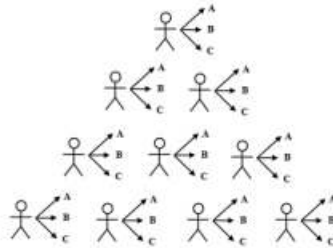
Question: What is the difference between micro and macroeconomics?

By remembering that economics is simply the study of choice, the answer to this question is remarkably simple.

Microeconomics is the study of individual choices and macroeconomics the study of group choices.



Micro



Macro

The fact that economics is the study of choice makes it a very special subject. It is special because everyone makes choices and, most importantly, everyone wants to make better choices. The study of economics is simply a way of:

- identifying your options
- measuring benefits and costs
- making the best choice given your goals and circumstances

The economy is an abstraction that measures changes in decision making by market participants.

Changing choices leads to changing behavior. Changing behavior leads to changing economic activity. Let's think about this for a moment. How could there be a change in anyone's activity if they made the same choices repeatedly?

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